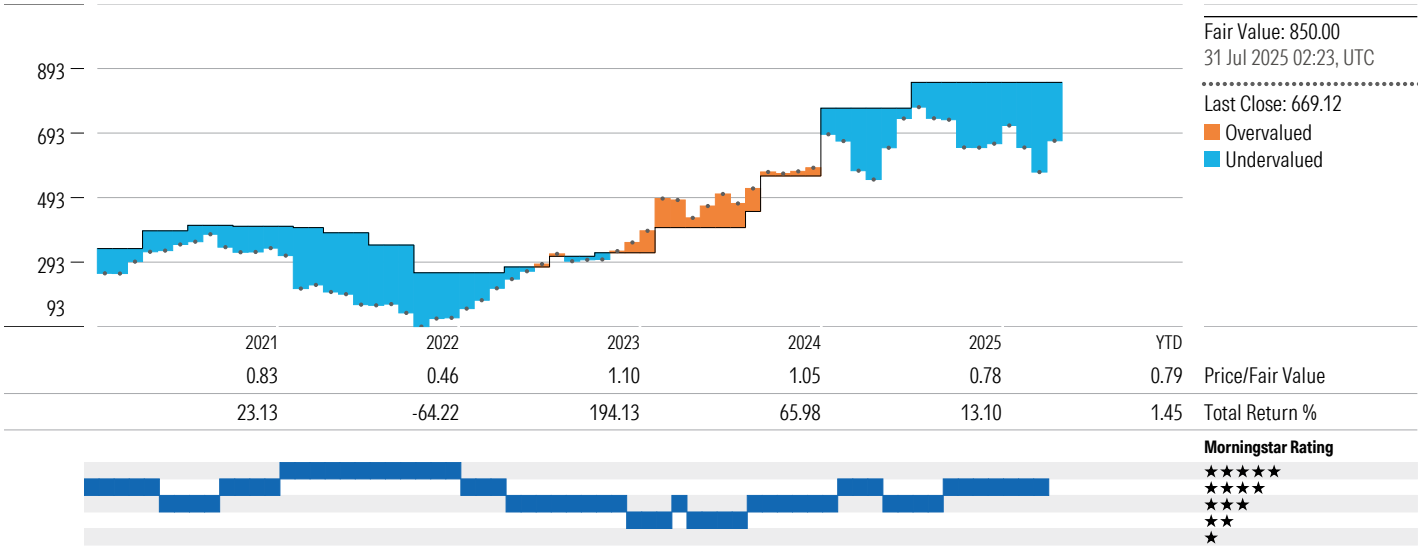
Meta Platforms Inc Class A META ★★★★ 29 Apr 2026 21:19, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
669.12 USD 29 Apr 2026	850.00 USD 31 Jul 2025 07:23, UTC	0.79	1.70 USD Tril 29 Apr 2026	Wide	Large Blend	High	Standard	29 Apr 2026 05:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD	
	0.83	0.46	1.10	1.05	0.78	0.79	Price/Fair Value
	23.13	-64.22	194.13	65.98	13.10	1.45	Total Return %

Morningstar Rating

★★★★★
★★★★
★★★
★★
★

Total Return % as of 29 Apr 2026. Last Close as of 29 Apr 2026. Fair Value as of 31 Jul 2025 02:23, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Meta Earnings: Ad Sales Growth Continues to Accelerate Even as AI Costs Mount; Maintaining $850 FVE

Analyst Note Malik Ahmed Khan, CFA, Senior Equity Analyst, 30 Apr 2026

Meta kicked off fiscal 2026 with strong results, with the firm's top line growing 33% to $56 billion. The firm's operating margins contracted 90 basis points to 41% as AI-related costs rise. The firm also raised its capital expenditure guidance for 2026 to $135 billion from $125 billion.

Why it matters: Investors have been concerned about Meta's ability to generate strong returns on its artificial intelligence investments. We see these quarterly results as further evidence that the firm is already generating billions of dollars from the large-scale AI investments in the form of ad dollars.

- AI-optimized ad and content recommendations are lifting time spent on Meta's properties and conversion rates, boosting both the price (up 12%) and volume (up 19%) components of Meta's ad sales growth algorithm.
- In particular, management called out AI-driven improvements that increased time spent across Instagram (10% lift on Reels) and Facebook (8% on video), and improved conversion rates (1.6% across Facebook and Instagram).

The bottom line: We reiterate our $850 fair value estimate for wide-moat Meta. With shares trading down after hours, likely spooked by the $10 billion increase in capital expenditure, we continue to view them as attractively priced.

- We think investors are underestimating Meta's ability to leverage its AI investments to eke out further

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Sector
Communication Services

Industry
Internet Content & Information

Business Description

Meta is the largest social media company in the world, boasting close to 4 billion monthly active users worldwide. The firm's "Family of Apps," its core business, consists of Facebook, Instagram, Messenger, and WhatsApp. End users can leverage these applications for a variety of different purposes, from keeping in touch with friends to following celebrities and running digital businesses for free. Meta packages customer data, gleaned from its application ecosystem and sells ads to digital advertisers. While the firm has been investing heavily in its Reality Labs business, it remains a very small part of Meta's overall sales.

top-line gains by improving its ads business for advertisers while deepening its timeshare with users via more engaging content.

Big picture: We believe Meta has all the right ingredients to monetize AI at scale. The firm has low-cost infrastructure, via its own custom silicon, in-house models that are close to the frontier, and an engaged, growing distribution channel with more than 3.5 billion users.

- We believe that since the firm has all the right ingredients to make the AI return on investment work, investors should let Zuckerberg and his team cook.

Business Strategy & Outlook Malik Ahmed Khan, CFA, Senior Equity Analyst, 29 Jan 2026

We view Meta as the clear winner in social media. The firm's application lineup, which includes Facebook, Instagram, WhatsApp, and Messenger, has close to 4 billion monthly active users, giving Meta unmatched scale in the sector.

The firm's strategy is dual-pronged. On the user side, Meta has leveraged its scale and social media savvy to iteratively improve its product lineup, adding attractive features such as Stories, Reels, and even new products such as Threads. Such improvements/additions not only improve user engagement, but also allow Meta to monetize these features/products by layering advertisements onto them.

On the advertising side, Meta allows advertisers of all shapes and sizes to place ads in front of engaged users. The company has benefited greatly from a general shift toward digital advertising within the broader advertising market, with social media advertising gaining substantial share, especially since the covid-19 pandemic. To bolster its advertising business, Meta has invested heavily to improve its ad-targeting algorithms, allowing it to improve its advertisers' return on ad spending and increasing its average revenue per user over time.

While the firm's core business remains advertising, Meta has shown a proclivity to expand beyond its ad-based revenue model by investing heavily in hardware, via Reality Labs, and AI, by investing in its own Llama large language model. While the firm's investments in Reality Labs have been demonstrably unprofitable, we are more optimistic about Meta's investments in AI. We believe Meta's AI investments, especially those aimed at improving the firm's ad-targeting algorithms, are value-accretive.

Beyond ad-targeting, Meta is also investing in consumer-facing AI, via its Llama chatbot, which is accessible to users across its applications. While a monetization strategy for this chatbot remains elusive in the near term, we believe the firm could drive increased user engagement/time spent by allowing its users access to a chatbot assistant within Meta's applications.

Bulls Say Malik Ahmed Khan, CFA, Senior Equity Analyst, 29 Jan 2026

- Meta's core advertising business has benefited greatly through improved ad targeting and content

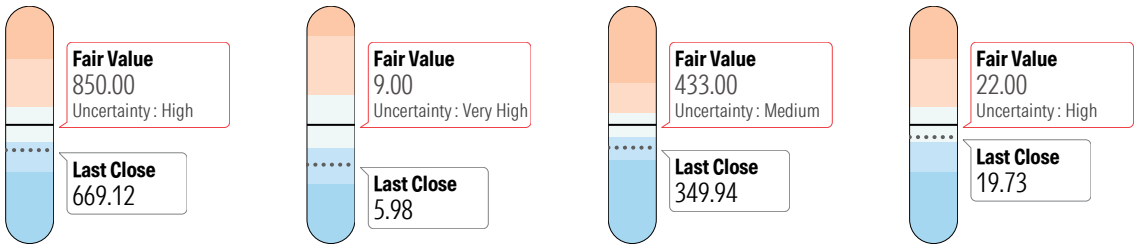
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Competitors



	Meta Platforms Inc Class A META	Snap Inc Class A SNAP	Alphabet Inc Class A GOOGL	Pinterest Inc Class A PINS
Economic Moat	Wide	None	Wide	Narrow
Currency	USD	USD	USD	USD
Fair Value	850.00 31 Jul 2025 02:23, UTC	9.00 6 Aug 2025 04:01, UTC	433.00 30 Apr 2026 00:35, UTC	22.00 13 Feb 2026 06:09, UTC
1-Star Price	1,317.50	15.75	584.55	34.10
5-Star Price	510.00	4.50	303.10	13.20
Assessment	Undervalued 28 Apr 2026	Undervalued 28 Apr 2026	Undervalued 30 Apr 2026	Fairly Valued 28 Apr 2026
Morningstar Rating	★★★★29 Apr 2026 21:19, UTC	★★★★28 Apr 2026 23:58, UTC	★★★★30 Apr 2026 00:39, UTC	★★★28 Apr 2026 23:54, UTC
Analyst	Malik Ahmed Khan, Senior Equity Analyst	Malik Ahmed Khan, Senior Equity Analyst	Malik Ahmed Khan, Senior Equity Analyst	Malik Ahmed Khan, Senior Equity Analyst
Capital Allocation	Standard	Standard	Exemplary	Standard
Price/Fair Value	0.79	0.66	0.81	0.90
Price/Sales	8.60	1.70	10.62	3.24
Price/Book	7.82	4.46	10.18	2.78
Price/Earning	24.36	—	36.24	32.34
Dividend Yield	0.31%	0.00%	0.24%	0.00%
Market Cap	1,698.51 Bil	10.10 Bil	4,233.38 Bil	11.36 Bil
52-Week Range	520.26—796.25	3.81—10.41	147.84—355.79	13.84—39.93
Investment Style	Large Blend	Small Blend	Large Blend	Small Blend

recommendation algorithms as well as a secular increase in digital advertising spending.

- Meta's scale, with the majority of the world's internet-connected users accessing its applications, allows it access to high-quality user data which it can package and sell to advertisers.
- The firm has an opportunity to drive more ad inventory growth, leveraging new products such as Threads while also improving its monetization of ads on more nascent features such as Stories and Reels.

Bears Say Malik Ahmed Khan, CFA, Senior Equity Analyst, 29 Jan 2026

- Meta's investments in Reality Labs and generative AI stand to lose the firm billions of dollars annually, taking some of the shine off its overall business.
- The firm has a monopoly case against it in the US which could potentially force it to break up, severing some of the scale advantages it has built up over time.
- Meta has disproportionately benefited from increased ad spending by Chinese retailers including Temu

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and Shein. A slowdown in spending by these firms could hit Meta's growth.

Economic Moat Malik Ahmed Khan, CFA, Senior Equity Analyst, 22 Jan 2025

We believe Meta merits a wide economic moat rating due to the firm's intangible assets and the potent network effect around its Family of Apps business. While the firm's Reality Labs segment continues to hemorrhage cash, we believe Meta's FoA business' strong competitive advantages will likely allow the firm to generate returns in excess of its cost of capital over the next two decades.

Family of Apps

We assign a wide moat rating to Meta's Family of Apps, or FoA, business segment. We believe that the firm has built significant intangible assets, primarily via the customer data it collects and a potent network effect that has enabled Meta to be the most dominant social media platform in the world.

Meta's FoA segment includes revenue from its social media applications including Facebook, Instagram, WhatsApp, and Messenger. The firm's dominance in social media is evidenced by its four primary applications constituting four of the six most popular social media applications globally. Also, Meta's scale in the social media business is staggering. Almost 4 billion people use at least one of its applications every month. For context, according to various estimates, a little more than 5 billion people in the world have access to the internet, implying that around 75% of people connected to the internet globally are users of Meta's applications.

The vast majority of Meta's massive user base across its application ecosystem uses its applications free of charge. Instead of paying Meta a subscription fee to use its applications, they provide Meta with an audience that it can sell advertisements to. Meta can accumulate data on users, such as demographic information, likes/dislikes, and topics of interest to feed into its advertising engine, which lets advertisers target ads placed on Meta's properties.

We view Meta's collection, storage, and subsequent monetization of this rich, high-quality data as an intangible asset that provides the firm with a meaningful competitive advantage over other social media platforms and advertising venues. This data, and the ad technology and algorithms built on top of it, provide Meta a peerless position when it comes to monetizing its large user base. Further, as Meta's data collection and ad-targeting algorithms have gotten better, the firm has also flexed its pricing power. A prime example of this pricing power, and the increasingly strong value proposition the firm offers advertisers, is the rapid growth in Meta's average ad revenue per user, which has increased to more than $40 globally at the end of 2023 from around $25 in 2018.

Further, Meta's ad-targeting and content recommendation algorithms improve as more users give it their data by using its applications. This dynamic creates a potent network effect with the value of its application ecosystem increasing as more people use it. These network effects serve to create barriers

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to success for new social network upstarts, who would start off subscale, as well as barriers to exit for existing users who might leave behind friends, contacts, pictures, memories, and more by completely departing to alternative applications such as Snapchat or TikTok.

Meta has leveraged its scale and large installed base to create new avenues of user engagement that directly compete with applications that stand to threaten its social media dominance. When threatened by Snapchat, Meta launched Stories, a Snapchat copycat, that allows FoA users to post short picture or video collections that disappear after 24 hours. Similarly, when threatened by TikTok and its engaging short-form video content, Meta rolled out Reels, a short-form video offering nearly identical to TikTok.

While Stories and Reels can be seen as defensive maneuvers aimed to keep users on Meta's applications, Meta has demonstrated its ability to use this copycat model as an offensive, land-grab strategy as well. When Twitter/X was undergoing substantial turmoil following Elon Musk's takeover of the platform, Meta launched Threads, a Twitter/X copycat. In all three cases, Stories, Reels, and Threads, Meta has been able to create strong, monetizable products that have hundreds of millions of users across them. We believe Meta's ability to weaponize its scale as a competitive advantage makes the economic moat around its business more durable.

Meta's scale is also important when contextualizing the firm's ongoing investments in AI. Meta's capital expenditure, mostly on data centers equipped with expensive graphics processing units, has led investors to question whether the firm's investments in AI will yield meaningful results and generate returns in excess of the firm's cost of capital. When discerning the impact of these AI investments on Meta's return on invested capital profile and its durable competitive advantage and differentiation, we see positives and negatives.

On the positive side, the firm could leverage AI to improve its ad tech business, improving advertiser ROI and encouraging more ad dollars to be spent on its platform. Investments in AI that serve this end are, in our view, explicitly value-accretive. By investing within its moat, Meta could leverage its AI infrastructure to further pull away from competition by driving a higher ad revenue per user in its highly profitable ad business. However, investments to drive better ad targeting are nothing new. Also, the firm's AI investments could be leveraged to drive more engaging content for its end users on Facebook and Instagram. Again, such investments in better user engagement are ultimately value-accretive as they increase Meta's value to advertisers who can place ads for more engaged users.

On the other hand, the firm's investments in generative AI and its push to have Llama as the chatbot of choice for its users don't inspire the same confidence in us. First, the firm lacks any meaningful monetization strategy around its chatbot. We understand that if users have a competent chatbot within their Meta application of choice they don't need to leave Meta's properties, boosting time spent on Meta's application ecosystem. However, at the same time we'd imagine it'd be significantly cheaper for

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Meta to have a licensing agreement with a company like OpenAI/Anthropic/Perplexity, which could provide Meta with chatbots that would have the same end user-engagement result.

Also, we see the investments that public cloud vendors are making in AI as beneficial for public cloud infrastructure providers like Amazon, Microsoft, and Alphabet. Meta, on the other hand, does not have a presence in the public cloud market and isn't planning to become a public cloud vendor either. As a result, it strikes us as odd that the company would invest billions of dollars in developing a technology that doesn't have an obvious monetization strategy behind it. In sum, while we like Meta's investments in AI as they relate to the firm's core advertising business, we remain skeptical of the long-term value added by the firm's investments in user-facing chatbots.

Reality Labs

We believe Meta's Reality Labs business merits a no moat rating. While the firm's investments in metaverse and virtual/augmented reality could lead to profitable growth in the future, the segment continues to burn capital for Meta, with the segment's operating losses exceeding $16 billion in 2023. Due to its insignificant size, as a proportion of Meta's overall business, it does not preclude us from viewing the overall firm as having a wide moat.

Fair Value and Profit Drivers Malik Ahmed Khan, CFA, Senior Equity Analyst, 29 Jan 2026

Our fair value estimate for Meta is $850 per share, implying a 2026 adjusted price/earnings multiple of 30 times and an enterprise value/adjusted EBITDA multiple of 14 times.

We forecast Meta's sales growing at a 18% compound annual growth rate for the next five years, spearheaded primarily by an increase in average revenue per user, with user growth also chipping in.

Drilling deeper, we believe Meta has a strong monetization opportunity ahead of it in Asia and the rest of the world. While we expect advertising sales from North America and Europe to grow steadily, we believe increasingly affluent and growing middle classes in Asia, Africa, and the Middle East will allow Meta to improve its ad monetization in those regions, lifting its overall top line.

While we expect Reality Labs sales to grow at a double-digit rate over the next five years, we believe Meta's advertising juggernaut will remain the primary driver of its business and intrinsic value over our explicit forecast.

On the profitability side, we remain impressed by Meta's ability to drive efficiency across its operational footprint, with the firm's 2025 operating margins of 41%, up from the 2022 nadir of 25%. Looking ahead, we believe that the firm's profitability will deteriorate, with operating margins declining to 39% over our explicit five-year forecast as increased compensation and depreciation costs eat away at the strong top-line growth.

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Risk and Uncertainty Malik Ahmed Khan, CFA, Senior Equity Analyst, 29 Jan 2026

We assign Meta a Morningstar Uncertainty Rating of High. We believe Meta's investments in unprofitable ventures such as generative AI and Reality Labs add a layer of uncertainty around its business, even as its large and stable advertising business continues to generate substantial cash flows in our forecast.

As we look ahead, we believe Meta's considerable scale and intangible assets, such as its ad-targeting algorithms, will most likely enable the firm to maintain its dominance in the social media space. While there are antitrust concerns around Meta's business, with US antitrust regulators pursuing a monopoly case against the firm, we view an often-hypothesized breakup of Meta's applications into separate businesses as unlikely. At the same time, there is headline risk that the firm faces as the case moves through the courts with a trial likely starting in 2025.

Beyond advertising, Meta's investments in Reality Labs and generative AI, primarily via its Llama LLM, add uncertainty to the firm's overall business. Along with losing Meta billions of dollars every year, a profitable monetization strategy for both investments remains elusive. While the firm has shown a panache of proving investors and analysts wrong with large business decisions in the past, we remain uncertain about the long-term value accretion these investments stand to provide Meta.

The firm's high dependence on user behavior data represents an environmental, social, and governance risk. If it fails to maintain adequate data privacy and security, Meta's advertising business will likely suffer. Also, the broader impact of social media on its users' mental health, especially that of teenagers, is also a pertinent ESG risk for Meta. There appears to be bipartisan support in the US for increased regulation of social media platforms that could include forcing Meta to change its content recommendation algorithms, potentially hitting the firm's advertising business.

Capital Allocation Malik Ahmed Khan, CFA, Senior Equity Analyst, 29 Jan 2026

We assign Meta a Standard Morningstar Capital Allocation Rating based on its sound balance sheet, fair investments, and appropriate shareholder distributions.

Meta's balance sheet remains enviable, especially given that digital advertising has not been very cyclical thus far. Meta's leverage ratios remain exceptionally strong, with $23 billion in net cash and cash equivalents as of the end of 2025.

Meta's research and development investments over the past decade have largely been value-accretive as the firm has been able to drive user growth while also improving monetization across its applications. While some recent R&D investments, particularly in Reality Labs, have been more questionable, we find the firm's internal investment strategy solid. With its large amount of cash, Meta is well positioned to make additional investments primarily by building out new features and products

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that drive increased user engagement.

Coupled with investments within the business, previous acquisitions have strengthened the firm's network effect moat source and accelerated top-line growth, most notably including Instagram and WhatsApp. The management team—more specifically, founder and CEO Mark Zuckerberg—has demonstrated its focus on long-term returns on investments, which we view as positive.

However, at the same time we believe that combative antitrust regulators scrutinizing Meta's every move and an ongoing monopoly case against the firm make it unlikely that Meta will be able to engage in any blockbuster mergers and acquisitions in the near future.

We also applaud management's walled-garden strategy as it continues to protect the firm's most valuable asset, its user base and usage data. However, the US and other governments around the world may also impose restrictions on Meta's use of user data. Management has responded well as it continues to increase its influence in Washington, D.C.

In terms of shareholder distributions, Meta declared a dividend for the first time in the first quarter of 2024. The firm has repurchased shares consistently, spending $19.8 billion,$30 billion, and $27 billion in 2023, 2024, and 2025, respectively.

Our main knock on Meta's management is its use of a multiple share class structure that may limit the voice of minority shareholders. This has become more of an issue given how Meta is addressing data privacy and security, which has led to some shareholders wanting to reduce Zuckerberg's control of the company. Some continue to believe that Zuckerberg's control of Meta creates a conflict of interest, allowing him to pursue passion projects whether or not they have the potential to generate exceptional returns for shareholders.

Analyst Notes Archive

Meta: Legal Headwinds Grow but We Think the Firm Can Weather the Storm; Maintaining $850 Fair Value Malik Ahmed Khan, CFA,Senior Equity Analyst,27 Mar 2026

Meta faced two major legal blows in quick succession as verdicts in California and New Mexico cases went against the firm, imposing near-term financial penalties while also increasing longer-term regulatory risks for the broader social media space. Shares closed down 8% for the day. Why it matters: While the financial penalties in both cases are quite negligible for a company of Meta's scale, investors worry about second-order effects resulting from these adverse legal decisions. From a litigation perspective, we could see more similar cases against Meta and other social media companies across dozens of states. These cases could focus on the "addiction by design" framework, which proved successful in the California case. From a legislative perspective, investors fear that these cases will provide cover for governments worldwide to impose algorithmic and structural changes, such as age-gating and feature removals, that could affect engagement and impair long-term growth metrics. The

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MORNINGSTAR®

Meta Platforms Inc Class A META ★★★★ 29 Apr 2026 21:19, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
669.12 USD 29 Apr 2026	850.00 USD 31 Jul 2025 07:23, UTC	0.79	1.70 USD Tril 29 Apr 2026	Wide	Large Blend	High	Standard	29 Apr 2026 05:00, UTC

bottom line: We maintain our $850 fair value estimate for wide-moat Meta and view the market's reaction as overly punitive for the following key reasons. One, Meta's proactive deployment of Instagram Teen accounts with parental supervision tools and content filters represents a credible litigation defense that could weaken harsher mandates legislators may seek to impose on the firm. Two, we think Meta has substantial financial firepower to absorb even a large settlement. Three, federal legislation that creates a uniform national compliance standard may disproportionately hurt smaller players, therefore paradoxically improving Meta's competitive positioning. Between the lines: We think that any algorithmic changes imposed on the firm via legislation are also a manageable risk, given the firm's monetizable user base, which is overwhelmingly adult, thereby insulating the firm against such legislation.

Meta's AMD Chip Deal Provides More Color on the Firm's Multivendor Silicon Strategy Malik Ahmed Khan, CFA,Senior Equity Analyst,24 Feb 2026

AMD and Meta announced an expanded strategic partnership where Meta may deploy up to 6 gigawatts of AMD customized GPU solutions, with the first GW expected to begin in the second half of 2026. Meta has the option to acquire 160 million AMD shares via warrants. Why it matters: We see Meta pursuing a multipronged silicon strategy. The firm is aiming to leverage Nvidia for frontier model training; AMD for expanding inference needs; custom silicon, MTIA, for core recommendation algorithms; and TPUs, by Google, for possible expansion of Llama workloads. We see key benefits in adopting this portfolio approach, one not too dissimilar from other hyperscalers, such as Alphabet, Amazon, and Microsoft, that use a mixture of third-party and first-party silicon to meet their compute needs. The benefits include cost optimization, which is matching workloads with silicon in a way that is efficient, and managing potential supply chain risks such as overdependence on a potential rival, such as Google, or one chip provider, such as Nvidia. The bottom line: We maintain our $850 fair value estimate for wide-moat Meta and continue to view shares as undervalued. We think that as 2026 progresses, investors will be able to see clear returns on Meta's artificial intelligence investments, primarily via its impressive ad business, and have more confidence in its AI chops, with Meta's new large language model being a significant upgrade to current Llama 4. Big picture: Meta's scale, with more than 3.5 billion daily active users across its platforms, is such that the firm has to hyper-optimize its infrastructure to be able to serve GenAI features in a cost-effective way. With the firm's AI models managing hundreds of billions of AI model interactions daily, improving performance-per-watt by even as much as 10% for a given workload can translate to millions of dollars in annual savings.

Meta Earnings: Strong End to 2025 as AI Monetization Begins to Show; Shares Remain Undervalued Malik Ahmed Khan, CFA,Senior Equity Analyst,29 Jan 2026

Meta reported strong fourth-quarter earnings, with sales growing 24% to $60 billion. Operating margins contracted 700 basis points to 41% as AI-related costs continue to mount. The firm's 2026 guidance

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calls for $125 billion in capital expenditures and $162 billion in operating expenses. Why it matters: Meta's ad business continues to perform at full capacity, with the firm's investments in artificial intelligence continuing to drive metrics such as engagement, ad efficacy, and content recommendation. Engagement metrics, including time spent on Instagram and Facebook, remain strong, with video engagement particularly strong. As users spend more time on its platform, Meta can show them more ads, driving ad impressions up 18% for the quarter. We were similarly impressed by Meta leveraging its AI investments to drive growth in ad clicks (up 3.5% for Facebook) and conversions (1% increase for Instagram). While marginal, these improvements can unlock substantial topline dollars considering Meta's scale. The bottom line: We maintain our $850 fair value estimate for wide-moat Meta, with the firm's outperformance on sales offset by its 2026 capital and operating expenses guidance coming in ahead of our estimates. Despite shares being up, we continue to view them as undervalued. We think that as the year continues, investors will align with our bullish view on Meta as more datapoints regarding the impact of the firm's AI investments on its core ads business come to the fore. Coming up: Meta expects sales for the first quarter to grow a whopping 30%, driven primarily by a healthy demand for its ad products. We expect this strength to continue into the remainder of the year, and model 2026 sales growth at 25%. We expect the launch of Meta's latest large language model in the coming months, with the LLM likely to be competitive with frontier labs such as Google, OpenAI, and Anthropic.

Meta Earnings: Ad Revenue Momentum Is Strong, but an Avalanche of AI Costs Are Coming in 2026

Malik Ahmed Khan, CFA,Senior Equity Analyst,30 Oct 2025

Meta reported solid third-quarter earnings, with sales up 26% to $51 billion and operating margins contracting 300 basis points to 40%, as artificial intelligence-related costs rose year over year. The firm indicates that its capital expenditures, mostly on AI, will be over $100 billion next year. Why it matters: Meta's ad business continues to perform exceptionally well, with management attributing improvements in engagement and monetization to the firm's increased use of AI, as well as continued ad inventory (Threads, WhatsApp) growth, and strong engagement (Facebook, Instagram). Meta has two primary levers of driving ad sales: volume and price. On volume, the firm can increase its ad inventory, that is, the number of ads shown, by adding more surfaces and by increasing its user count. To this end, we saw an impressive 8% growth in daily users to 3.54 billion. On price, we see Meta's AI investments as key to driving higher value to advertisers via improved ad targeting and higher returns on ad spending, which then drives higher ad prices. This dynamic was evident in the 10% increase in ad prices, mostly driven by improved ad performance. The bottom line: We maintain our $850 fair value estimate for wide-moat Meta, with the firm's strong performance offset by the higher-than-expected capital and operating expenditures commentary for 2026. With shares trading down after hours, we continue to view them as undervalued. We understand investor fears around investments in AI. After a scarring Reality Labs misallocation of capital, investors are again doubting Meta's capital allocation strategy for AI. We are not as pessimistic. From a strategic perspective, we think it is important that Meta invests in

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its own foundation models. Simply put, the costs of running someone else's model at Meta's scale are not economically feasible and would cause material margin compression.

Meta Earnings: Ad Engine Firing on All Cylinders Even as AI Costs Mount; FVE up to $850 From $770
Malik Ahmed Khan, CFA,Senior Equity Analyst,31 Jul 2025

Meta closed the second quarter of fiscal 2025 with excellent financial results which included sales growing 22% to $47.5 billion and operating margins rising 500 basis points to 43%. The firm's capital expenditures for 2025 are expected to reach $69 billion, up from $68 billion previously estimated. Why it matters: Meta's primary ad business continues to churn out billions of dollars in free cash flow that the firm is spending on its artificial intelligence ambitions. We remain enthusiastic about Meta's ability to drive better engagement and monetization on its social media platforms by leveraging AI tools. While investors have been concerned this year about macro headwinds and their impact on Meta's digital ad sales, we continue to view the firm's ad business as resilient. We attribute this resilience to the firm's superior return on ad spending that continues to attract customers. Meta's strategy of using AI tools to drive better engagement and monetization of its platforms continues to go strong. Meta saw more time spent on Instagram and Facebook, more advertisers using AI creative tools, and AI-improved ad recommendations leading to higher conversion rates. The bottom line: We are raising our fair value estimate for wide-moat Meta to $850 from $770 as we factor in the strong quarterly performance as well as higher top-line growth due to continued AI-led improvements in user engagement and ad monetization. With shares trading up sharply following the earnings result, we view them as marginally undervalued relative to our updated fair value. Between the lines: With Instagram and Facebook well-saturated with ads, Meta has begun ads on Threads and WhatsApp as it looks to increase its ad supply, which should boost sales over time. We see this move as value-accretive as the firm increases its ad surfaces and monetization simultaneously.

Meta: Ads on WhatsApp Stand to Add Incremental Ad Inventory, Supporting Top-Line Growth Malik Ahmed Khan, CFA,Senior Equity Analyst,16 Jun 2025

On June 16, Meta announced that the company will begin placing ads on WhatsApp, a messaging app with over 3 billion monthly users. The ads will show up on the Updates tab, a WhatsApp feature used by more than 1.5 billion users daily. Why it matters: To increase ad sales, Meta has two primary levers: price and volume. While price can be indirectly increased over time by honing algorithms to increase return on ad spending, Meta has more explicit control over volume, as it can choose to surface more ads on its platform. With ad loads, or the number of ads shown, quite high on saturated products such as Facebook and Instagram, Meta has increasingly looked for new pieces of digital real estate to show ads. After Meta announced plans for ads on Threads earlier this year, WhatsApp is next on the monetization schedule. Meta has a proven track record of gradually monetizing its applications after building up a strong, sticky user base. While WhatsApp's monetization timeline has been significantly longer than

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that of other apps and products, such as Threads, Stories, and Reels, we view Meta's change as a strategic move. The bottom line: We maintain our $770 fair value estimate for wide-moat Meta, with WhatsApp monetization already baked into our growth forecasts. With shares trading up on the news of WhatsApp monetization, we view them as marginally undervalued. With the firm claiming only to use data such as location, language, and interactions with ads to show ads on WhatsApp, we believe WhatsApp monetization will likely lag that of Instagram and Facebook. Those apps have vastly more data that can improve the return on ads for advertisers. Further, while WhatsApp has more than 3 billion monthly users, a considerable portion of them reside in low- low-monetization geographies, further damping the average revenue per user profile of WhatsApp.

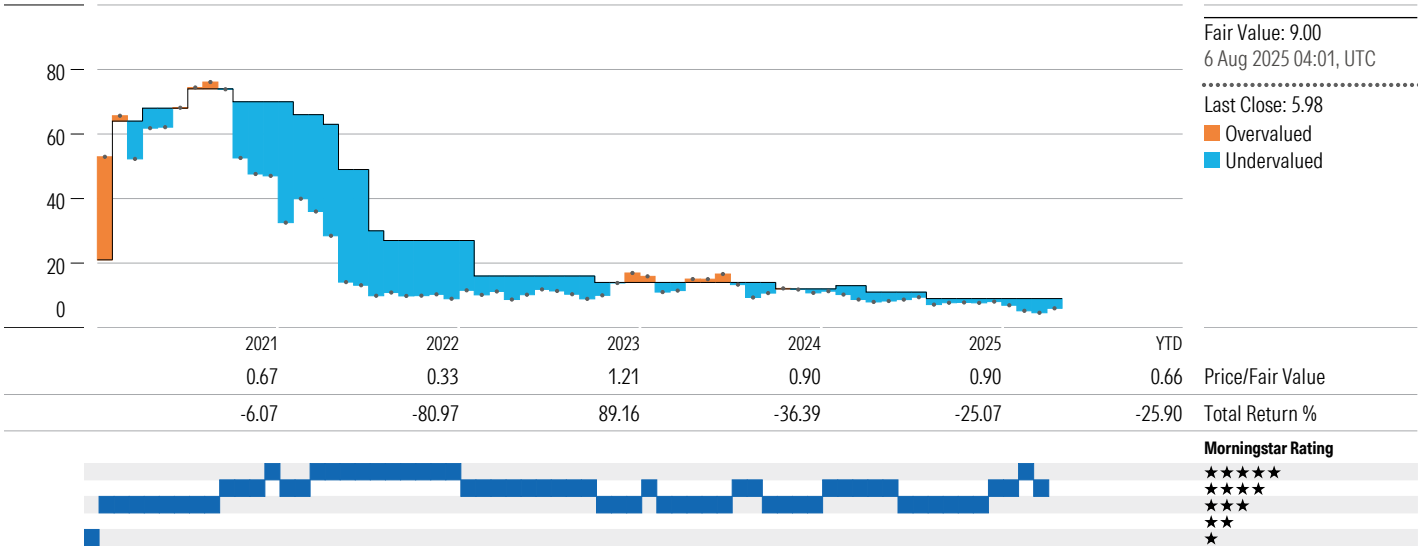
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Competitors Price vs. Fair Value

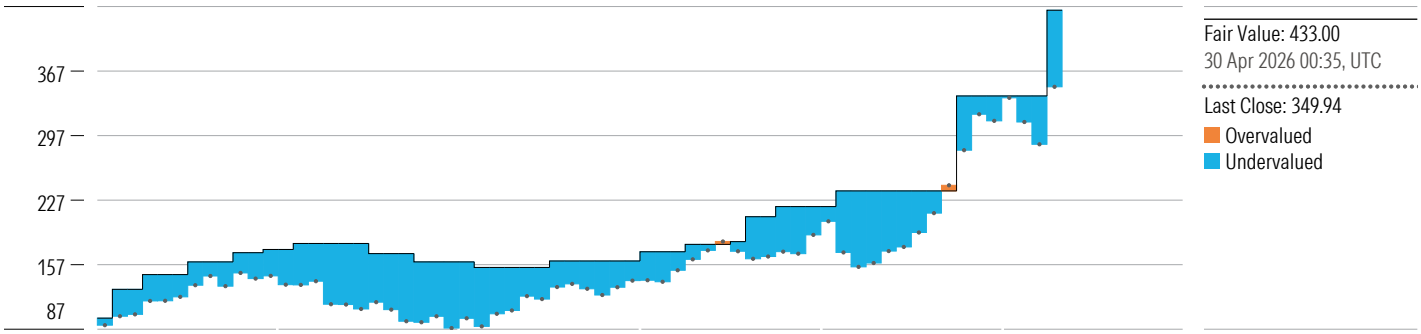
Snap Inc Class A SNAP



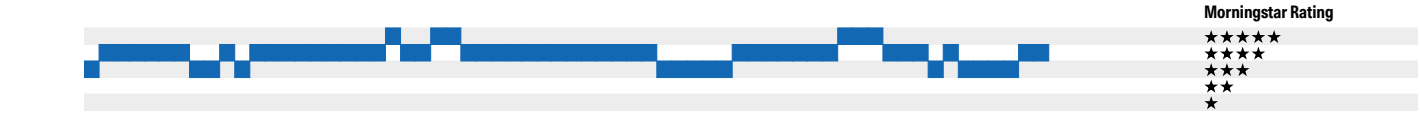
	2021	2022	2023	2024	2025	YTD	
	0.67	0.33	1.21	0.90	0.90	0.66	Price/Fair Value
	-6.07	-80.97	89.16	-36.39	-25.07	-25.90	Total Return %

Total Return % as of 29 Apr 2026. Last Close as of 29 Apr 2026. Fair Value as of 6 Aug 2025 04:01, UTC.

Alphabet Inc Class A GOOGL



	2021	2022	2023	2024	2025	YTD	
	0.83	0.55	0.87	0.86	0.92	1.03	Price/Fair Value
	65.30	-39.09	58.32	35.94	65.78	11.87	Total Return %



Total Return % as of 29 Apr 2026. Last Close as of 29 Apr 2026. Fair Value as of 30 Apr 2026 00:35, UTC.

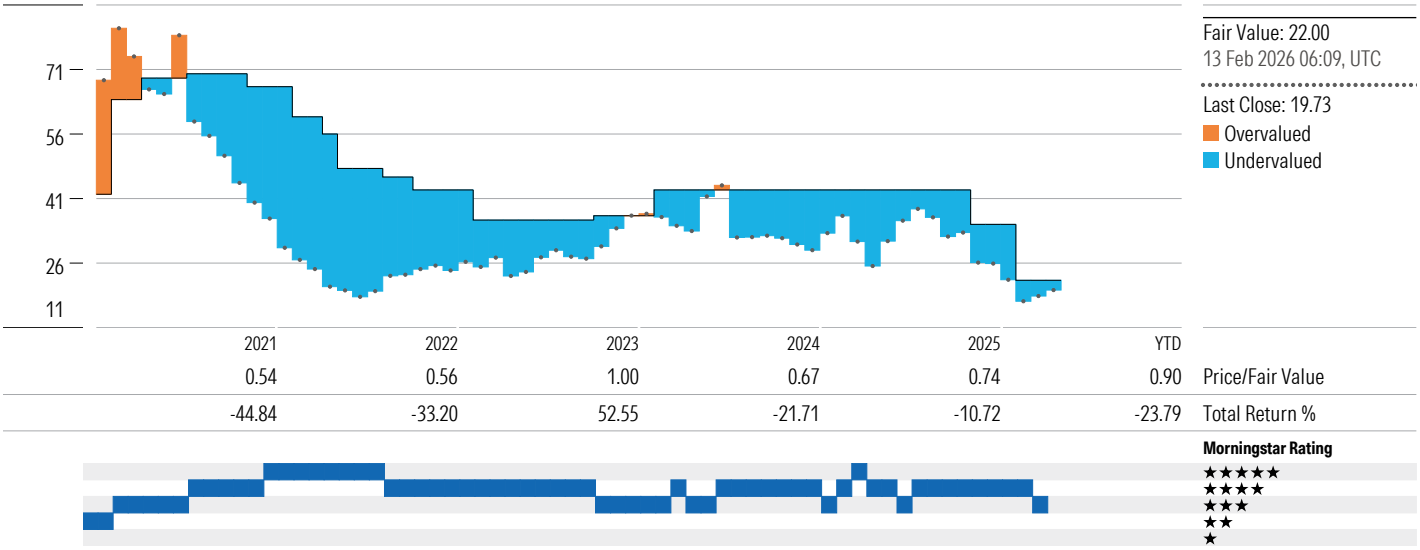
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Competitors Price vs. Fair Value

Pinterest Inc Class A PINS



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	0.54	0.56	1.00	0.67	0.74	0.90
Total Return %	-44.84	-33.20	52.55	-21.71	-10.72	-23.79

Total Return % as of 29 Apr 2026. Last Close as of 29 Apr 2026. Fair Value as of 13 Feb 2026 06:09, UTC.

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Morningstar Valuation Model Summary

Financials as of 29 Apr 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Revenue (USD Mil)	134,902	164,499	200,965	258,240	319,347	382,496	443,105	501,549
Operating Income (USD Mil)	46,751	69,379	83,276	97,761	114,965	140,567	166,165	191,842
EBITDA (USD Mil)	57,929	84,877	101,892	136,497	178,834	217,067	237,061	262,059
Adjusted EBITDA (USD Mil)	71,956	101,567	122,319	170,068	213,962	255,316	279,156	309,706
Net Income (USD Mil)	39,098	62,359	60,458	91,959	98,128	119,720	141,308	162,964
Adjusted Net Income (USD Mil)	39,098	62,359	76,388	91,959	98,128	119,720	141,308	162,964
Free Cash Flow To The Firm (USD Mil)	25,606	28,942	-21,458	-7,441	7,789	56,115	53,757	53,382
Weighted Average Diluted Shares Outstanding (Mil)	2,629	2,614	2,574	2,565	2,565	2,565	2,565	2,565
Earnings Per Share (Diluted) (USD)	14.87	23.86	23.49	35.85	38.26	46.67	55.09	63.53
Adjusted Earnings Per Share (Diluted) (USD)	14.87	23.86	29.68	35.85	38.26	46.67	55.09	63.53
Dividends Per Share (USD)	0.00	2.00	2.23	2.53	2.88	3.18	3.34	3.51

Margins & Returns as of 29 Apr 2026		Actual			Forecast					
	3 Year Avg	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**5 Year Avg**
Operating Margin %	39.4	34.7	42.2	41.4	37.9	36.0	36.8	37.5	38.3	37.3
EBITDA Margin %	—	42.9	51.6	50.7	52.9	56.0	56.8	53.5	52.3	—
Adjusted EBITDA Margin %	—	53.3	61.7	60.9	65.9	67.0	66.8	63.0	61.8	64.9
Net Margin %	32.3	29.0	37.9	30.1	35.6	30.7	31.3	31.9	32.5	32.4
Adjusted Net Margin %	35.0	29.0	37.9	38.0	35.6	30.7	31.3	31.9	32.5	32.4
Free Cash Flow To The Firm Margin %	8.6	19.0	17.6	-10.7	-2.9	2.4	14.7	12.1	10.6	7.4

Growth & Ratios as of 29 Apr 2026		Actual			Forecast					
	3 Year CAGR	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**5 Year CAGR**
Revenue Growth %	19.9	15.7	21.9	22.2	28.5	23.7	19.8	15.9	13.2	20.1
Operating Income Growth %	42.2	61.5	48.4	20.0	17.4	17.6	22.3	18.2	15.5	18.2
EBITDA Growth %	40.2	53.9	46.5	20.1	34.0	31.0	21.4	9.2	10.5	21.2
Adjusted EBITDA Growth %	35.1	45.0	41.2	20.4	39.0	25.8	19.3	9.3	10.9	20.4
Earnings Per Share Growth %	39.9	73.2	60.4	-1.5	52.6	6.7	22.0	18.0	15.3	22.0
Adjusted Earnings Per Share Growth %	39.9	73.2	60.4	24.4	20.8	6.7	22.0	18.0	15.3	22.0

Valuation as of 29 Apr 2026	Actual			Forecast				
	2023	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Price/Earning	23.8	24.5	22.2	18.7	17.5	14.3	12.1	10.5
Price/Sales	6.7	9.0	8.3	6.6	5.3	4.4	3.8	3.4
Price/Book	6.1	8.4	7.8	5.7	4.4	3.4	2.7	2.2
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	12.3	14.4	13.7	10.0	7.9	6.7	6.1	5.5
EV/EBIT	18.9	21.1	20.1	17.4	14.8	12.1	10.2	8.9
Dividend Yield %	—	0.3	0.3	0.4	0.4	0.5	0.5	0.5
Dividend Payout %	0.0	8.4	7.5	7.1	7.5	6.8	6.1	5.5
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 29 Apr 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
ROA %	17.0	22.6	16.5	19.8	17.1	17.1	16.7	16.0
ROE %	25.5	34.1	27.8	30.4	24.9	23.7	22.2	20.6
ROIC %	28.1	31.1	30.2	28.1	24.2	23.0	21.8	20.3

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	3.9	3.2	4.8	2.5	2.3	2.1	1.9	1.8
Assets/Equity	1.5	1.5	1.7	1.5	1.5	1.4	1.3	1.3
Net Debt/EBITDA	-0.5	-0.3	0.0	-0.1	0.0	-0.3	-0.4	-0.5
Total Debt/EBITDA	0.5	0.5	0.7	0.3	0.3	0.2	0.2	0.2
EBITDA/ Net Interest Expense	-106.3	-79.1	-46.0	-250.1	-445.8	-911.8	-3,489.5	2,580.9

Forecast Revisions as of 29 Apr 2026	2026		2027		2028	
Prior data as of 28 Jan 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	850.00	849.91	—	—	—	—
Revenue (USD Mil)	258,240	250,860	319,347	303,484	382,496	351,705
Operating Income (USD Mil)	97,761	84,038	114,965	109,254	140,567	131,010
EBITDA (USD Mil)	170,068	149,262	213,962	179,056	255,316	208,385
Net Income (USD Mil)	91,959	73,472	98,128	94,736	119,720	113,059
Earnings Per Share (Diluted) (USD)	35.85	28.64	38.26	36.93	46.67	44.08
Adjusted Earnings Per Share (Diluted) (USD)	35.85	28.64	38.26	36.93	46.67	44.08
Dividends Per Share (USD)	2.53	2.53	2.88	2.88	3.18	3.18

Key Valuation Drivers as of 29 Apr 2026

Cost of Equity %	9.2
Pre-Tax Cost of Debt %	5.5
Weighted Average Cost of Capital %	9.1
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	7.5
Stage II Investment Rate %	30.0
Perpetuity Year	20

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 29 Apr 2026

	USD Mil
Present Value Stage I	115,293
Present Value Stage II	982,932
Present Value Stage III	990,135
Total Firm Value	**2,088,360**
Cash and Equivalents	81,592
Debt	58,744
Other Adjustments	0
Equity Value	**2,111,208**
Projected Diluted Shares	2,565
Fair Value per Share (USD)	**850.00**

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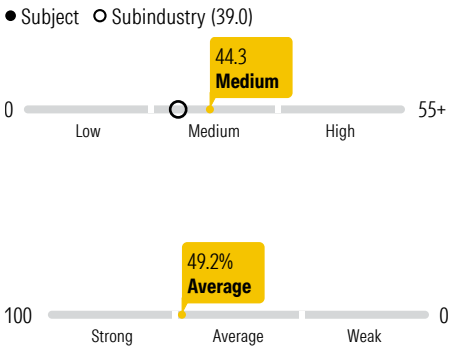
MORNINGSTAR®

Meta Platforms Inc Class A META ★★★★ 29 Apr 2026 21:19, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
669.12 USD 29 Apr 2026	850.00 USD 31 Jul 2025 07:23, UTC	0.79	1.70 USD Tril 29 Apr 2026	Wide	Large Blend	High	Standard	29 Apr 2026 05:00, UTC

ESG Risk Rating Breakdown

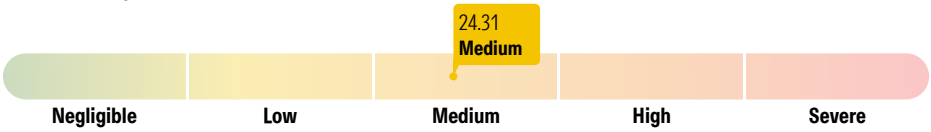
Exposure	
Company Exposure[1]	44.3
– Manageable Risk	40.5
Unmanageable Risk[2]	**3.7**
Management	
Manageable Risk	40.5
– Managed Risk[3]	19.9
Management Gap[4]	**20.6**
Overall Unmanaged Risk	**24.3**



- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 49.2% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment[5]



ESG Risk Rating is of Apr 29, 2026. Highest Controversy Level is as of Apr 08, 2026. Sustainalytics Subindustry: Internet Software and Services. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 29 Apr 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Meta Platforms Inc	44.3 | Medium	0	55+	49.2 | Average	100	0	24.3 | Medium	0	40+
Alphabet Inc	42.6 | Medium	0	55+	57.3 | Strong	100	0	19.9 | Low	0	40+
Snap Inc	38.2 | Medium	0	55+	51.4 | Strong	100	0	20.0 | Low	0	40+
Pinterest Inc	33.5 | Low	0	55+	52.9 | Strong	100	0	17.0 | Low	0	40+
—	— | —	0	55+	— | —	100	0	— | —	0	40+

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Appendix

Historical Morningstar Rating

Meta Platforms Inc Class A META 29 Apr 2026 00:13, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★★★	★★★★	★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★★	★★★	★★★	★★	★★	★★	★★	★★★	★★	★★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★

Snap Inc Class A SNAP 28 Apr 2026 23:58, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★★★	★★★★★	★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★★	★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★	★★★★	★★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★

Alphabet Inc Class A GOOGL 30 Apr 2026 00:39, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★★★	★★★★	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★★★	★★★	★★★★	★★★★	★★★★	★★★★★	★★★★★	★★★★★	★★★★	★★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★★	★★★★	★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★	★★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★

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Pinterest Inc Class A PINS 28 Apr 2026 23:54, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★★	★★★★	★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★★	★★★★	★★★★★	★★★★	★★★	★★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★★	★★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★★	★★★★	★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★	★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

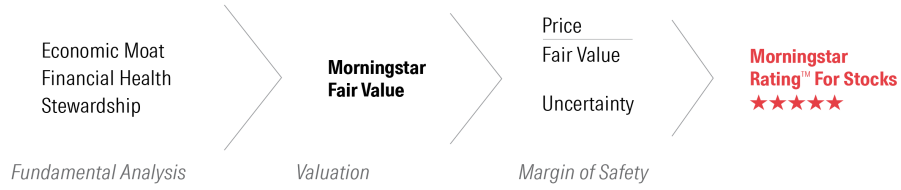
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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Research Methodology for Valuing Companies

outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

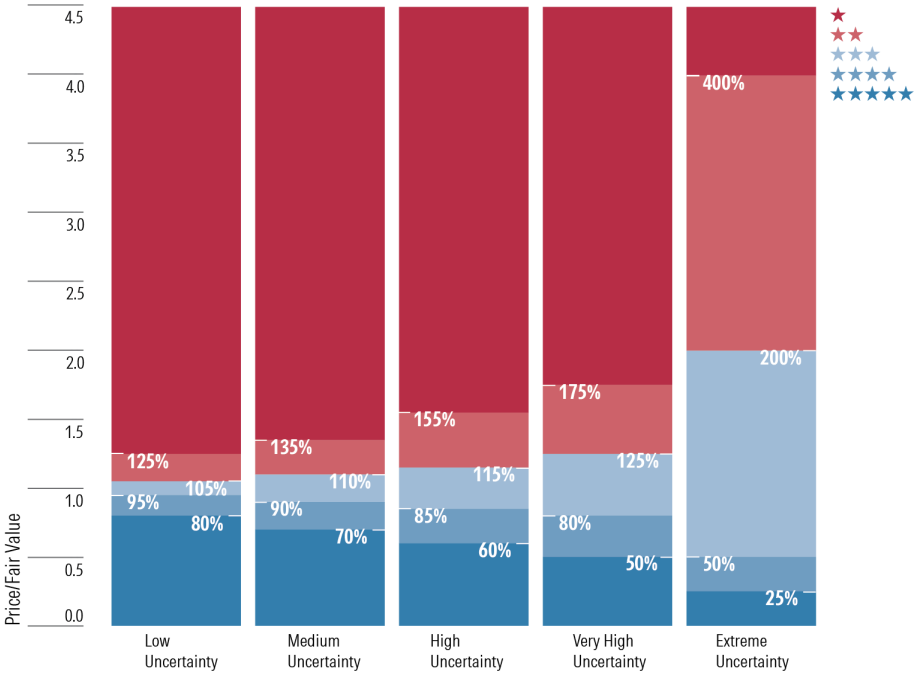
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

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Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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